



UNEMPLOYMENT

PART A

UNEMPLOYMENT is the biggest obstacle to **ECONOMIC GROWTH**. When workers can't find work, their ability to produce is **WASTED**. Identify the various **TYPES OF UNEMPLOYMENT**, and then answer the questions about unemployment below.



**FRICTIONAL
UNEMPLOYMENT**

DEFINITION:

A SPECIFIC TYPE OF FRICTIONAL
UNEMPLOYMENT IS

WORKER'S ARE

AND WORKERS'S SKILLS ARE



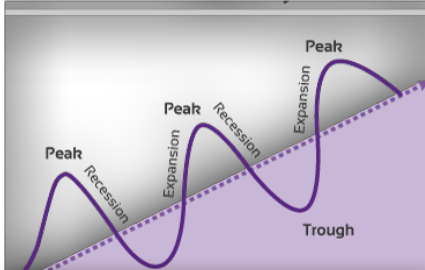
**STRUCTURAL
UNEMPLOYMENT**

DEFINITION:

A SPECIFIC TYPE OF STRUCTURAL
UNEMPLOYMENT IS

THESE JOBS

BECAUSE WORKERS'S SKILLS ARE



**CYCLICAL
UNEMPLOYMENT**

DEFINITION:

THESE JOBS WILL RETURN WHEN

THIS TYPE OF UNEMPLOYMENT
EXISTS WHEN THE
UNEMPLOYMENT RATE IS ABOVE

NEED
WORK

UNEMPLOYMENT AND THE **LABOR** Force

PART B

A worker must first be part of the **LABOR FORCE** to be considered **UNEMPLOYED**. List the **QUALIFICATIONS** to be considered part of the labor force below. Then read the descriptions provided and determine if each person is **PART OF THE LABOR FORCE**.

QUALIFICATIONS FOR THE **LABOR FORCE** :

- ✓ WORKERS MUST BE _____ AND _____ TO WORK.
- ✓ WORKERS MUST BE AT LEAST _____ YEARS OLD.
- ✓ WORKERS CANNOT BE IN THE _____, A FULL-TIME _____, OR _____.
- ✓ WORKERS CANNOT BE _____.

INCLUDED OR NOT INCLUDED

1. A HIGH SCHOOL STUDENT WHO IS CURRENTLY LOOKING FOR AN AFTER SCHOOL JOB, BUT CANNOT FIND ONE.

INCLUDED OR NOT INCLUDED ?

2. A RECENT COLLEGE GRADUATE WHO IS SENDING OUT JOB APPLICATIONS.

INCLUDED OR NOT INCLUDED ?

3. A MILITARY VETERAN WHO HAS BEEN DISCHARGED AND IS TRYING TO FIND WORK.

INCLUDED OR NOT INCLUDED ?

4. A COLLEGE DROP OUT WHO PLAYS VIDEO GAMES ALL DAY IN HIS PARENTS' BASEMENT.

INCLUDED OR NOT INCLUDED ?

5. A SENIOR CITIZEN WHO COMES OUT OF RETIREMENT TO APPLY FOR A PART-TIME JOB.

INCLUDED OR NOT INCLUDED ?



IDENTIFYING TYPES OF UNEMPLOYMENT

PART C

Use each of the cases below to classify the various **TYPES OF UNEMPLOYMENT**. First, identify whether each example demonstrates **FRICTIONAL**, **STRUCTURAL**, or **CYCICAL** unemployment. Then, **EXPLAIN** your conclusion.

1. A WAITRESS IS FIRED BECAUSE SHE REGULARLY SHOWS UP LATE TO WORK. _____

EXPLAIN:

2. A VCR REPAIRMAN IS LET GO BY HIS BOSS BECAUSE VCRs ARE OBSOLETE. _____

EXPLAIN:

3. A COLLEGE GRADUATE LEAVES HIS PART-TIME JOB FOR A NEW CAREER. _____

EXPLAIN:

4. A CHEF IS FIRED DURING A RECESSION BECAUSE BUSINESS IS SLOW. _____

EXPLAIN:

5. AN AUTO WORKER IS FIRED AND REPLACED BY A ROBOTIC ARM THAT CAN DO HIS JOB MORE EFFICIENTLY. _____

EXPLAIN:

6. A FARM WORKER IN CENTRAL CALIFORNIA IS LET GO ONCE THE HARVEST IS DONE IN NOVEMBER. _____

EXPLAIN:

7. A TEACHER IS FIRED AT THE END OF THE SCHOOL YEAR DUE TO BUDGET CUTS IN A RECESSION. _____

EXPLAIN:

8. A HIGH SCHOOL GRADUATE IS NOT PROPERLY PREPARED FOR ANY JOB HE APPLIES FOR IN THE WORK FORCE. _____

EXPLAIN:

9. A CASHIER AT TARGET IS LAID-OFF WHEN THE STORE INSTALLS AUTOMATIC CHECK OUT LINES. _____

EXPLAIN:

THE UNEMPLOYMENT Rate

Calculating

PART D

First, answer the questions about employment below. Then, use the data provided to calculate the **UNEMPLOYMENT RATE** for each country. Then indicate if the unemployment rate is above, at, or below the **NATURAL RATE OF UNEMPLOYMENT**.

Define the **NATURAL RATE OF UNEMPLOYMENT**.

Define **UNDEREMPLOYMENT**.

How does **UNDEREMPLOYMENT** lead some economists to criticize the **UNEMPLOYMENT RATE**?

REMEMBER!

$$U.R. = \frac{\# \text{ UNEMPLOYED}}{\text{LABOR FORCE}}$$

UNITED STATES



	2015	2016
UNEMPLOYED	5 MILLION	10 MILLION
LABOR FORCE	100 MILLION	125 MILLION

What was the unemployment rate in 2015? _____

What was the unemployment rate in 2016? _____

As of 2016, the unemployment rate was _____ the **NATURAL RATE OF UNEMPLOYMENT**.

GREAT BRITAIN



	2015	2016
UNEMPLOYED	4 MILLION	6 MILLION
LABOR FORCE	80 MILLION	100 MILLION

What was the unemployment rate in 2015? _____

What was the unemployment rate in 2016? _____

As of 2016, the unemployment rate was _____ the **NATURAL RATE OF UNEMPLOYMENT**.